Press Release

Summary IFRS results
1H 2024

August 8, 2024. Moscow. Sberbank (hereafter – "the Group" or "Sber" published Interim Summary Consolidated Financial Statements under International Financial Reporting standards (IFRS) (hereafter "the Financial Statements") for 1H 2024 and as of June 30, 2024.

Sber net profit for 1H 2024 reached RUB816.1 bn in accordance with International Financial Reporting Standards (IFRS)

Herman Gref, Chairman of the Executive Board, CEO, stated:

"In the second quarter, we saw strong growth across all areas of our business that resulted in the net profit increasing by 10.1% year on year, reaching RUB418.7 bn, while the return on equity reached 25.9%.

The corporate loan portfolio increased by 4.4% during the quarter, while retail portfolio – by 6.3%. We recorded a surge in demand for mortgages before a number of state subsidy programs expectedly wound down. Special retail deposit promos triggered a 9.2% inflow of retail deposits in the quarter, increasing Sber market share by 0.9 pp to 44.3%.

Today, more than 109 mn retail customers rely on Sber and 85.6 mn actively participate in the SberSpasibo loyalty program, which we profoundly renewed in the second quarter. Now accumulating and spending Spasibo bonuses has become simpler and easier with individual choices. Moreover, the SberPrime subscription is integrated into this program, and more than 12 mn subscribers already benefit from preferential terms and increased cashback on purchases.

AI enhances operating efficiencies and is integrated in almost all external and internal client journeys and processes at Sber. In 2Q 2024, our GigaChat neural network model turned one. Today more than 6 mn users and 4 thousand business clients around the world enjoy its capabilities. We also presented an updated version of the Kandinsky Video 1.1 neural network for creating full-fledged videos using texts and images.

As a result, in 1H 2024, Sber generated RUB816.1 bn (+10.7% y/y), and the return on equity reached 25.0%. We raise our full year ROE forecast to over 23% on the basis of strong results of the first half of the year and economic growth expectations."

Key financial results for the reporting period

2Q 2024

418.7 RUB bn	18.13 RUB	25.9 %	14.1 %
Group net profit	Earnings per share (EPS)[1]	ROE	Capital adequacy ratio (N20.0)

Key Client Activity Metrics

mn, unless stated otherwise	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Number of active retail clients	109.0	108.8	108.5	*0.2*	*0.5*
MAU – SberBank Online app (app+web)	82.7	82.5	81.9	*0.2*	*0.8*
DAU – SberBank Online app (app+web)	43.3	43.3	43.7	-	*-0.4*
Number of active corporate clients	3.2	3.2	3.2	-	-

- Number of active retail clients increased by 0.5 mn to 109.0 mn since the beginning of the year, the number of corporate clients was 3.2 mn.
- Number of active monthly users (MAU) of SberBank Online (app+web) exceeded 82.7 mn, while number of daily users (DAU) came at 43.3 mn. The DAU/MAU ratio was 52.4%.
- Our youngest audience is expanding. More than 1.8 mn young customers already use the SberKids mobile app to manage their finances.
- Number of loyalty program SberSpasibo users rose by 8.4 mn since the beginning of the year to 85.6 mn thanks to the renewal of the program and its improved terms.
    - Customers now choose several cashback categories where they want bonuses awarded every month. The SberPrime subscription makes the program even more valuable with more categories and an increased cashback.
- Number of Sber ID users, a unified login that gives access to services of Sber and partners, increased by 10.5 mn since the beginning of the year to 85.5 mn.
- Number of SberPrime users came at 12.2 mn, expanding by 2.1 mn in the first half of the year.

Group Income Statement Highlights

RUB bn, unless stated otherwise	2Q 2024	*change 2Q 2024 / 2Q 2023*	1Q 2024	1H 2024	*change 1H 2024 / 1H 2023*
Net interest income	713.2	*19.3%*	699.9	1413.1	*21.8%*
Net fee and commission income	209.5	*12.1%*	184.1	393.6	*9.9%*
Operating income before provisions	855.7	*3.3%*	801.9	1657.6	*6.1%*
Net charge related to change in asset quality[2]	-98.4	*-4.2%*	-53.3	-151.7	*-18.8%*
Staff and administrative expenses	-252.7	*16.8%*	-227.6	-480.3	*20.6%*
Net profit	**418.7**	***10.1%***	**397.4**	**816.1**	***10.7%***
Earnings per ordinary share, RUB	18.13	*8.6%*	18.56	36.74	*9.8%*
Key financial ratios					
Return on equity[3]	25.9%	*-0.1 pp*	24.2%	25.0%	*-0.5 pp*
Return on assets[4]	3.1%	*-0.3 pp*	3.0%	3.1%	*-0.3 pp*
Net interest margin	5.84%	*0.04 pp*	5.88%	5.86%	*0.1 pp*
Cost of risk (amortized cost and FV loans)	1.0%	*-0.3 pp*	0.5%	0.8%	*-0.4 pp*
Cost-to-income ratio	29.5%	*3.4 pp*	28.4%	29.0%	*3.5 pp*

Net interest income rose by 19.3% y/y to RUB713.2 bn in 2Q 2024 on the back of loan portfolio growth. In 1H 2024, net interest income rose by 21.8% y/y to RUB1413.1 bn.

- Net interest margin amounted to 5.84% in 2Q 2024, increasing by 4 bp y/y, while decreasing by 4 bp compared to the previous quarter.

Net fee and commission income increased by 12.1% y/y to RUB209.5 bn in 2Q 2024 mainly from growth in income from cash and settlement transactions, acquiring volume and documentary commissions. In 1H 2024, net fee and commission income rose by 9.9% y/y to RUB393.6 bn.

- Total payments, transfers and acquiring volume expanded by 23% y/y in 2Q 2024.
- In June, Sber introduced a new generation of autonomous smart terminals for paying with a smile.
  - The bank's new smart payment terminals have become mobile and accept payments in five different ways, using a card, a payment sticker, contactless via NFC, a QR code or biometrics.
- The fastest card delivery service in the country from 15 to 30 minutes has become available in SberBank Online in April 2024. The service is already covering more than 150 cities of Russia.
- For the eighth year in a row, Sber validated its leadership in the latest ranking of European largest acquirers by the number of transactions, according to The Nilson Report.

The Group operating income before provisions rose by 3.3% y/y to RUB855.7 bn in 2Q 2024 thanks to growth in net interest income and commission income. In 1H 2024, operating income before provisions increased by 6.1% y/y to RUB1 657.6 bn.

Net provision charge against credit quality deterioration, including revaluation of loans at fair value, decreased by 18.8% y/y to RUB151.7 bn in 1H 2024, and decreased by 4.2% y/y to RUB98.4 bn in 2Q 2024 mainly thanks to successful recovery of certain problem loans in the corporate portfolio.

- **Cost of risk** decreased by 40 bp y/y in 1H 2024 to 76 bp, and by 26 bp y/y to 97 bp in 2Q 2024.

Operating expenses of the Group rose by 16.8% y/y to RUB252.7 bn in 2Q 2024. In 1H 2024, operating expenses increased by 20.6% y/y to RUB480.3 bn primarily from growth in payroll compensation to attract and retain personnel.

- **Cost-to-income ratio** amounted to 29.5% in 2Q 2024, and 29.0% in 1H 2024.

Sber **Net profit** rose by 10.1% y/y to RUB418.7 bn in 2Q 2024. In 1H 2024, net profit increased by 10.7% y/y to RUB 816.1 bn.

Group Balance Sheet Highlight

RUB bn, unless stated otherwise	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Gross loans[5]:	**41 881**	**39 824**	**39 381**	***5.2%***	***6.3%***
Corporate loan portfolio	24 372	23 346	23 306	*4.4%*	*4.6%*
Retail loan portfolio	17 509	16 478	16 075	*6.3%*	*8.9%*
Client funds:	**40 845**	**38 577**	**36 694**	***5.9%***	***11.3%***
Retail deposits	25 625	23 460	22 905	*9.2%*	*11.9%*
Corporate deposits	15 220	15 117	13 789	*0.7%*	*10.4%*
Net loan-to-deposit ratio	98.1%	98.8%	102.4%	*-0.7 pp*	*-4.3 pp*
Book value per share[9] (RUB)	**284.0**	**305.7**	**291.5**	***-7.1%***	***-2.6%***

Retail loan portfolio demonstrated solid growth in all segments to exceed RUB17.5 trn. The portfolio increased by 6.3% during the quarter, and by 8.9% in 1H 2024, on the back of changes in the state subsidy programs. The yield on retail loans increased by 25 bp in 2Q 2024 to 15.2%.

- Sber retail lending market share was up by 28 bp for the quarter to 47.5% as at June 30, 2024.

- Retail loan originations during the quarter were RUB2.1 trn.
- The share of retail product sales through digital channels exceeded 70% at quarter-end.

- **Mortgage loan portfolio** rose by 5.8% during the quarter, and by 6.7% for 1H 2024, to RUB10.9 trn. The portfolio dynamics were influenced by the expected completion of a number of state subsidy programs from July 1, 2024.
  - Mortgage loan issuances amounted to RUB887 bn during 2Q 2024, while Sber market share increased by 0.4 pp to 55.3%.
  - Starting from 2Q 2024, a special promo became available to those buying a new apartment "Thank you for an apartment". Clients with a mortgage from Sber can now receive a 5% cashback of the value of their apartment as SberSpasibo bonuses.
- **Consumer unsecured loan portfolio** rose by 4.0% during 2Q 2024, and by 6.6% for 1H 2024, to RUB4.2 trn.
  - Sber share in consumer unsecured lending rose by 0.3 pp during 2Q 2024 to 40.3%.
  - Consumer unsecured loan issuance reached RUB894 bn in 2Q 2024.
- **Credit card portfolio** rose by 10.6% in 2Q 2024, and by 21.8% in 1H 2024, to RUB2.0 trn.
  - SberCard is the most popular product in the country in its category, held by 17 mn customers in the country. Sber market share in credit cards has grown to 51.0% (+ 0.5 pp in 2Q 2024).
  - SberCard has been recognized as the best in Russia for the third consecutive year, according to Frank RG analytics.

Corporate loan portfolio rose by 4.4% during the quarter (+5.1% excluding adjustment for the impact of FX revaluation[6]), and by 4.6% for 1H 2024 (+5.6% excluding adjustment for the impact of FX revaluation[6]) and amounted to RUB24.4 trn. The yield on corporate loans in 2Q 2024 rose by 0.5 pp during 2Q 2024 to 12.7%.

- Sber market share in corporate lending in 2Q 2024 remained at 31.5%.
- In 2Q 2024, more than RUB5.8 trn corporate loans were issued, preserving stable portfolio quality.
- The real estate developers financing portfolio grew by 12.0% during the quarter and reached RUB4.6 trn.
  - It used to take one to two months to structure a project financing transaction for real estate developers. Now, thanks to integration of AI in the process of application review, it requires no more than 6 days. By the end of the year, the time will be reduced to one day.
  - SME loan portfolio rose by 9% in 2Q 2024 and reached RUB6.4 trn[7], while Sber market share remained at 44%[8].

Retail client funds exceeded RUB25.6 trn, showing growth of 9.2% for the quarter (+10.2% excluding adjustment for the impact of FX revaluation[6]), or by 11.9% for 1H 2024 (+12.3% excluding adjustment for the impact of FX revaluation[6]) thanks to attractive offerings and a wide variety of savings products. The cost of retail deposits rose by 0.9 pp during the quarter to 6.9%.

- Sber market share in retail client funds increased in 2Q 2024 by 0.9 pp to 44.3%.
- In 2Q 2024, Sber increased rates on deposits in yuan and the SberVklad line, while the deposit the rate for the "Best%" was increased to 18%.

Corporate client funds rose by 0.7% during the quarter (+0.8% excluding adjustment for the impact of FX revaluation[6]), or by 10.4% in 1H 2024 (+9.7% excluding adjustment for the impact of FX revaluation[6]) to exceed RUB15.2 trn. The cost of corporate deposits came down by 0.27 pp to 9.8% in 2Q 2024.

- Sber market share in corporate client funds decreased in 2Q 2024 by 0.6 pp to 18.9%.

Net LDR ratio decreased to 98.1% at the end of 2Q 2024 (-0.7 pp in 2Q 2024, or -4.3 pp for 1H 2024).

Key Asset Quality Metrics

%, unless stated otherwise	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Stage 3 + POCI loans / total gross loans at amortized cost	3.5%	3.5%	3.4%	*0.0 pp*	*0.1 pp*
Provision coverage of Stage 3 + POCI loans	127.2%	128.5%	142.2%	*-1.3 pp*	*-15.0 pp*

The quality of the loan portfolio in 2Q 2024 remained stable at a high level. The share of Stage 3 and POCI loans remained at 3.5%.

Total provision coverage of impaired loans decreased immaterially to 127.2% as at 30.06.2024.

Selected Group Capital Adequacy Results

RUB bn, unless stated otherwise	30.06.2024	31.03.2024	31.12.2023	*Q-Q change*	*year to date change*
Common equity Tier 1 capital	5 779.5	6 407.0	6 097.8	*-9.8%*	*-5.2%*
Tier 1 capital	5 929.5	6 557.0	6 247.8	*-9.6%*	*-5.1%*
Total capital	6 141.1	6 669.2	6 467.2	*-7.9%*	*-5.0%*
Risk-weighted assets	50 291.7	47 547.0	46 295.6	*5.8%*	*8.6%*
Common equity Tier 1 capital adequacy ratio	11.5%	13.5%	13.2%	*-2.0 pp*	*-1.7 pp*
Tier 1 capital adequacy ratio	11.8%	13.8%	13.5%	*-2.0 pp*	*-1.7 pp*
Total capital adequacy ratio	12.2%	14.0%	14.0%	*-1.8 pp*	*-1.8 pp*
Capital adequacy ratio for the Group N20.0	14.1%	14.0%	13.8%	*0.1 pp*	*0.3 pp*

Common equity Tier 1 capital decreased by 9.8% in 2Q 2024 to RUB5.8 trn. **Total capital** decreased by 7.9% during the quarter and amounted to RUB6.1 trn. The decrease was attributable to the decision to distribute RUB752 bn record dividends for 2023 as per the AGM.

The Group risk-weighted assets amounted to RUB50.3 trn, increasing by 5.8% during the quarter on the back of loan portfolio growth and regulatory macro add-ons in the retail segment. **RWA density** increased by 1.5 pp to 87.5%.

In 2Q 2024, **Common equity Tier 1 capital and Tier 1 capital adequacy ratio** were 11.5% and 11.8% respectively, while **total capital adequacy** came at 12.2%.

Capital adequacy ratio for the Group N20.0 rose by 0.1 pp during 2Q 2024 to 14.1%.

Technological Leadership

In 2Q 2024, Sber held its traditional technology conference GigaConf, a ground for developers to discuss new opportunities and areas for development of artificial intelligence in the country.

- A large-scale update of **GitVerse,** a Platform for working with source code, was presented at the IT conference.
  - The new functionality will allow the developers to estimate their labor costs and conduct code analytics using the **GigaCode** AI assistant, as well as use a task tracker for team work.
  - Sber presented a new vendor-independent development environment, **GigaIDE**, for a wide range of users. It allows one to develop using popular programming languages, ensures compatibility with popular plugins, as well as a familiar user experience. The GigaCode AI assistant built into the environment analyzes the context, offers complete designs of functions, cycles and other elements, which allows one to write codes on average 25% faster.
- As part of the vendor substitution initiative, a transition was made to the domestic product **Platform V SOWA** from SberTech.
  - This is a reliable tool for ensuring the security of internal and external traffic. Features include certified channel encryption and security against cyber attacks, making it an ideal solution for protecting critically important data.
- In 2Q 2024, the **GigaCheck** AI service was launched, which allows one to determine the author of a text, a person or AI.
- In April, Sber's neural model **GigaChat** turned one. Today, the number of users exceeds 6 mn people and 4 thousand business clients.
  - Sber, SIBUR and Center of speech technologies entered into a cooperation agreement in the field of AI to jointly develop and implement practical cases using GigaChat, which would allow companies to significantly increase productivity and competitiveness.
- Sber EAPTEKA call center launched a pharmacist digital assistant based on GigaChat.
  - The service will allow clients to receive support on pharmaceutical questions, like selection of medications, dosage, precautions and side effects.
- An update of **Kandinsky Video 1.1** neural network has been presented for creating full-fledged videos using text descriptions and images.
  - The model is capable of generating videos up to 60 seconds long, making static pictures live. The video format varies, including 16:9, 9:16 or 1:1, which allows one to adapt it to different platforms and devices.
- **New Sber devices** have become available to the market: Sber Line S TVs with miniLED technology, SberBoom Mini children's smart speaker with main characters from the animated series "Prostokvashino", a smart TV set-top box SberBox 2.
- An AI model has been developed to assess the performance capabilities of athletes as well as to develop their individual training schemes together with the AIRI Institute and PFC CSKA.
- Together with Yandex, the first higher education program in Russia was launched in collaboration with ITMO, MIPT, HSE and Innopolis University, a free AI360 bachelor's degree for future architects and AI researchers.
- Sber received 12 awards for achievements in the field of digital transformation at the CDO/CDTO Awards.
  - The winners included the online trading solution within SberBusiness, the cybersecurity encyclopedia “Kibrariy”, Sber’s cloud digital platform, a data management system SberFactoring that allows one to systematize existing data, projects from Sber University and SberAnalytics.
- In 2Q 2024, a new nomination for the Sber Scientific Prize “AI in Science” was announced with a prize fund of RUB16.5 mn.

ESG

As part of the sustainable development agenda, Sber continues to improve and introduce new non-credit ESG products and services, expand its responsible banking portfolio, which already exceeds RUB3.1 trn.

- Sales of ESG products in the B2B segment exceeded RUB740 mn in 1H 2024. The line was replenished with new services, including insurance, which combines protection against cyber attacks and environmental risks.
- A retail program was launched, a “Green Mortgage”, which includes not only the purchase of real estate in an energy-efficient house, but also an opportunity to use smart devices to automate apartment functions to reduce utility costs.
- In 2Q 2024, a number of cooperation agreements in the field of sustainable development were signed with regions of the Russian Federation, including the Pskov and Moscow regions.
    - Sber has signed 67 agreements with federal regions and developed 42 ESG transformation roadmaps.
- For the first time Sber participated in the Arctic Purity Cup, when teams competed in the waste sorting challenge in the Yamalo-Nenets Autonomous Okrug and the Arkhangelsk Region.
- The Bank is also a general partner of the pan-Russian eco-competition “Clean Games”.
    - In 2Q 2024, 146 games were held in 98 establishments, when 3 thousand teams collected more than 200 tons of waste, some of which was sent for recycling.
- Sber received 7 awards for “Best Social Projects in Russia”.
    - The judges acknowledged the projects from Sber's school and university accelerator for future entrepreneurs, social financial services, as well as comprehensive programs to raise financial literacy among adults and children.
- Sber's voluntary low-carbon energy certification system has become a winner of the "BPM Project of the Year", which is held by the Russian Association of Business Process Management Professionals (ABPMP Russian Chapter) with the support of the IT cluster of the Skolkovo Foundation and the Analytical Center of the Government of the Russian Federation.
- Nine Sber projects became winners of the “Best ESG Projects in Russia” awards, including programs on financial and cyber literacy, AI models for inclusion, biodiversity and carbon footprint reduction, as well as an educational project to support vulnerable groups of the population “SberKot of Good Deeds”.

Conference call details

August 8, 2024 at 11:00 MSK

Main Russian line
Topic: IFRS 2Q 2024

To connect to the conference using link below:
https://salutejazz.ru/0ml8qm?type=webinar&role=VIEWER&psw=OBIQAQcKBAYbAhcXWB4TFRQICg

Conference code: 0ml8qm@salutejazz.ru
Password: ardunapr

English (listen-only)
Topic: IFRS 2Q 2024

To connect to the conference using link below:
https://salutejazz.ru/ulw5g9?psw=OEQNAAoSVAIAVAoWVQZDEQ9eFw

Conference code: ulw5g9@salutejazz.ru
Password: 7oexv1ti

[1] Basic earnings per share is calculated by dividing the profit (loss) attributable to shareholders holding ordinary shares of the Bank, or from profit or loss from continuing operations, by the weighted average number of ordinary shares outstanding during the period, less treasury shares repurchased from shareholders.

[2] Includes net expenses from provisioning for debt financial assets and revaluation of loans at Fair Value due to changes in credit quality.

[3] Excluding the subordinated loan agreement in the amount of RUB150.0 bn classified as equity financial instrument that was previously ceded by the Bank of Russia in favor of the Ministry of Finance.

[4] Based on profit from continuing operations.

[5] Before loan loss allowance.

[6] Based on management accounts.

[7] According to the list of SMEs included in the register of the Federal Tax Service as of 30.06.2024.

[8] As of 31.05.2024.

[9] Total equity attributable to shareholders of the Bank / Total numbers of shares outstanding (ordinary + preferred).

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